

AI Eats the World

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Overview

Benedict Evans produces two major macro technology presentations per year that are widely read across the global technology and investment community. His Spring 2026 presentation, "AI Eats the World," applies his signature platform-shift analytical framework to generative AI—synthesizing capital flows, adoption patterns, value capture dynamics, and competitive structure to answer the question: what does this technology wave actually mean for the technology industry and the broader economy?

Evans is notable for his measured, empirically-grounded approach. He was early to recognize that many AI predictions were being driven by pattern-matching to prior platform shifts rather than careful analysis of what is actually different about generative AI. "AI Eats the World" is the definitive 2026 macro framing from the analyst most trusted by technology executives and investors.

Framework: Technology Platform Shifts

Evans begins by situating generative AI within the history of technology platform shifts. His central observation: roughly every 10–15 years, a fundamental new platform reshapes the entire technology industry. The succession—mainframes, personal computers, the internet, mobile, cloud, and now AI—follows a consistent pattern:

- All technology investment, talent, and innovation redirects toward the new platform
- New gatekeepers emerge at different layers of the stack
- Value migrates in ways that are difficult to predict from within the transition
- Companies dominant in the prior platform frequently fail to sustain dominance in the next
- The transition creates both enormous opportunity and enormous destruction

Crucially, Evans notes that within each platform shift, many ideas fail. The internet produced AOL, Yahoo, Flash, i-mode, and WAP before producing Google, Amazon, and Facebook.

Mobile produced WAP browsers, J2ME applications, and operator storefronts before producing the App Store model. AI will similarly produce failures before producing its defining winners—and the failures are not predictable in advance.

Capital Scale: A New Category of Industrial Investment

Evans puts the AI capital buildout in context that is striking: GenAI infrastructure investment is now running at \$500–750 billion annually. To calibrate this:

- Global telecommunications capital expenditure: ~\$300 billion annually
- Global upstream oil and gas capital expenditure: ~\$540 billion annually
- US hyperscaler AI capex (Microsoft, Meta, Alphabet, Amazon) in 2026: ~\$700 billion planned

AI infrastructure investment is now comparable in magnitude to the most capital-intensive industries in the global economy. This is not a software investment cycle—it is an infrastructure investment cycle of historic scale. The implication Evans draws: the economic logic of AI infrastructure follows infrastructure economics, not software economics. The revenue required to justify this investment is enormous, and it is not yet materializing at the pace required.

"Annualized AI capex aspirations are a similar magnitude to mature global capital-intensive industries: GenAI at \$500–750B, global telecoms at ~\$300B, upstream oil & gas at ~\$540B."

The Cloud Adoption Analogy: The Most Important Cautionary Data Point

Evans' most cited and most important empirical reference is the cloud adoption trajectory. After more than a decade of cloud evangelism—starting approximately with AWS in 2006—only about 30% of enterprise workloads have actually migrated to public cloud as of 2025–2026.

This is not a failure of cloud technology. Cloud is genuinely better than on-premises infrastructure for most workloads. The 30% figure reflects the actual pace at which organizations can restructure workflows, retrain people, renegotiate vendor contracts, and rebuild institutional habits. Transformation takes longer than technology cycles.

Evans applies this directly to AI: AI will genuinely transform industries. But the transformation will follow an S-curve—slow at first, then rapid, then complete—with a much longer initial phase than the technology enthusiast community expects. The correct framing is not "when does AI transform my industry" but "where are we on the S-curve, and what does that mean for investment and hiring decisions now?"

"After a decade-plus of cloud evangelism, only ~30% of enterprise workloads migrated to public cloud. AI adoption will follow an S-curve—don't overestimate what happens in one year; don't underestimate what happens in three to five."

Where Does Value Capture Land?

Evans identifies the value capture question as the defining strategic question of the AI wave. His analysis across prior platform shifts suggests:

- Infrastructure layers (compute, networking, storage) attract massive capital but tend toward commoditization
- Platform layers (operating systems, cloud platforms) capture significant rent, but primarily at scale
- Application layers—particularly vertically-focused applications that own the customer relationship and the proprietary data—capture durable margin

Evans articulates what he calls the "electricity utility" vision of AI—the Sam Altman proposition that people will eventually buy intelligence the way they buy power, from whichever provider clears a quality bar, with no visibility into which "power station" generated their AI. If this vision is correct, the margin does not live in foundation models. It lives at the application layer, in the vertical applications, in the businesses that own the customer relationship and the proprietary data.

This is a direct confirmation of the context thesis: the scarce resource is not AI intelligence, which will commoditize, but the domain-specific knowledge and customer relationships that make intelligence useful in a specific context.

The Interface Uncertainty: Which Paradigm Wins?

One of Evans' most important observations is the genuine uncertainty about which interface paradigm will define how people interact with AI. The candidates in play:

- Agentic systems that operate autonomously on users' behalf
- Browser-integrated AI that transforms web navigation
- Voice interfaces that make AI ambient
- MCP (Model Context Protocol) and similar integration standards
- Wearables and glasses that make AI physically present
- GEO (Generative Engine Optimization) that transforms how content is discovered

Evans is explicit that we do not yet know which of these will be the defining interface. The history of platform shifts suggests the eventual winner is frequently not the first or most obvious candidate. The practical implication for enterprise strategy: avoid deep bets on any single interface paradigm while the competition is still live.

OpenAI's Strategic Pivot and the Application Race

Evans notes a significant strategic shift at OpenAI that provides a leading indicator for where value is accumulating. OpenAI is transitioning from its identity as a core AI research company to an application and consumer product company. The evidence:

- OpenAI and Anthropic are both hiring senior consumer application leaders (including executives from Instagram)
- OpenAI's product expansion into search, productivity, and consumer tools reflects an understanding that the model layer alone will not sustain the economic model
- The competitive moat of having the best model is eroding as incumbents (Google, Meta, Anthropic, Mistral) match frontier capability

Evans' assessment of OpenAI's challenge is pointed: OpenAI does not have unique technology, has a large user base with limited engagement depth and stickiness, and faces no winner-take-all structural advantages in its current form. This creates urgency to build application moats before the model layer commoditizes further.

The One Area That Really Works: Coding

Evans identifies software coding as the use case where AI has most clearly and unambiguously proven its value—where adoption is deepest, ROI is clearest, and the "jagged frontier" problem (brilliance in some tasks, failure in adjacent ones) is least pronounced.

This is consistent with the broader research record (Mollick's BCG studies, Brynjolfsson's productivity analyses) and with the emergence of AI coding tools as the highest-NPS category in enterprise AI. The implication: coding is the proof of concept for what AI will eventually do in other complex knowledge work domains—but the transfer will be slower than enthusiasts predict.

Implications for Worldview

Platform shift framing: Evans provides the best available macro frame for where we are.

We are in a genuine platform shift—not a hype cycle and not just incremental improvement. But platform shifts take years to fully resolve, and the winners are not obvious in the early stages.

Cloud adoption analogy: The 30% cloud adoption figure is the single most important calibration for enterprise AI strategy. It validates the worldview's observation that capability arrival and economic adoption are different curves—and suggests the adoption gap is wider and longer than most assume.

Context and customer relationships: Evans' value capture analysis directly validates the worldview's core thesis: the scarce resource is not AI intelligence but the domain-specific knowledge and customer relationships that make intelligence useful. This is where durable margin will accumulate.

Infrastructure investment: The oil-and-gas-scale capital deployed into AI infrastructure creates economic pressure that will eventually resolve as either AI revenue growth or infrastructure cost collapse. Both outcomes benefit AI adopters.

Interface uncertainty: Enterprise strategies that bet deeply on a specific AI interface paradigm (agentic vs. voice vs. embedded) are premature. The pragmatic stance is building AI capabilities that can plug into multiple interface patterns as the market evolves.

Source: Benedict Evans. "AI Eats the World." ben-evans.com. Spring 2026 Macro Presentation (May 2026). Also discussed in a16z podcast "AI Eats the World: Benedict Evans on the Next Platform Shift" and Stratechery interview.